

Distribution and Promotion Strategies

L.L.Bean's

L.L.Bean's founder Leon Leonwood (L.L.) Bean returned from a Maine hunting trip in 1911 with cold, damp feet—and a revolutionary idea for stitching leather uppers to workmen's rubber boots to create a comfortable, functional boot. To a mailing list of hunters, Bean sent a three-page flier describing the benefits of his new Maine Hunting Shoe and backing it with a complete guarantee. The shoe was not an initial success. Of the first 100 pairs ordered, 90 were returned when the tops and bottoms separated. True to his word, Bean refunded the purchase price and fixed the problem. L.L.Bean quickly became known as a trusted source for reliable outdoor equipment and expert advice. The company's guarantee of 100 percent satisfaction is still at the core of its business, as is its original Golden Rule, "Sell good merchandise at a reasonable profit, treat your customers like human beings, and they will always come back for more." Today, it is a \$1.5 billion company, selling through its famous catalogs as well as online and in retail stores.



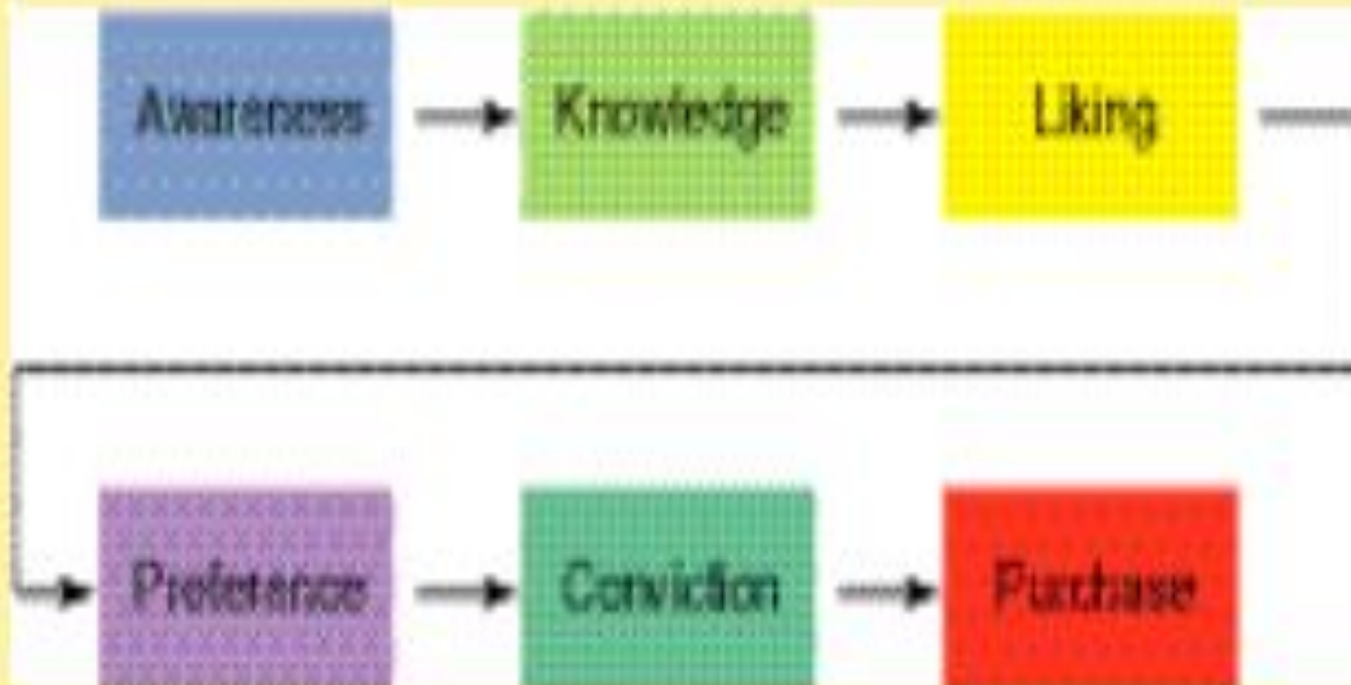
Promotion mix

- according to Philip Kotler, a promotion mix is a company's combination of advertising, public relations, personal selling, and direct marketing tools. It's also called a marketing communication mix.

Marketing Communications Mix

- **The five major types of promotion are:**
- • **Advertising:** Any paid form of non-personal presentation and promotion of ideas, goods, or services by an identified sponsor.
- • **Personal selling:** Personal presentation by the firm's sales force to make sales and build customer relationships.
- • **Sales promotion:** Short-term incentives to encourage the purchase or sale of a product or service.
- • **Public relations:** Building good relations with the company's publics by obtaining favourable publicity, building up a good "corporate image," and handling or heading off unfavourable rumours, stories, and events.
- • **Direct marketing:** Direct communications with carefully targeted individual consumers to obtain an immediate response—the use of mail, telephone, fax, e-mail, and other non-personal tools to communicate directly with specific consumers or to solicit a direct response.

Buyer readiness stages



Promotion Mix Strategies

- **Push strategy**

- A promotion strategy that calls for using the **sales force and trade promotion to push the product through channels**. The producer promotes the product to **wholesalers**, the **wholesalers promote to retailers**, and the **retailers promote to consumers**.

- **Pull strategy**

A promotion strategy that calls for **spending a lot on advertising and consumer promotion to build up consumer demand**. If the strategy is successful, **consumers will ask their retailers** for the product, the **retailers will ask the wholesalers**, and the **wholesalers will ask the producers**.

Marketing Channels and Value Networks

- Marketing channels
 - Sets of interdependent organizations participating in the process of making a product or service available for use or consumption
- Intermediaries: merchants, agents, and facilitators
- A marketing channel system
 - The particular set of marketing channels a firm employs
 - Push vs. pull strategy
- Multichannel marketing
 - Using two or more marketing channels to reach customer segments in one market area
 - Omnichannel marketing
 - Integrated marketing channel system

Hybrid Grid

		Demand-generation Tasks									
		Gather relevant information	Develop & disseminate communications	Reach price agreements	Place orders	Acquire funds for inventories	Assume risks	Facilitate product storage & movement	Facilitate payment		Oversee ownership transfer
Marketing Channels and Methods	VENDOR	Internet									CUSTOMER
		National account management									
		Direct sales									
		Telemarketing									
		Direct mail									
		Retail stores									
		Distributors									
		Dealers and value-added resellers									

Value Network

Value network

- A system of partnerships and alliances that a firm creates to source, augment, and deliver its offerings
- Demand chain planning

The digital channels revolution

Customer support in store/online/phone

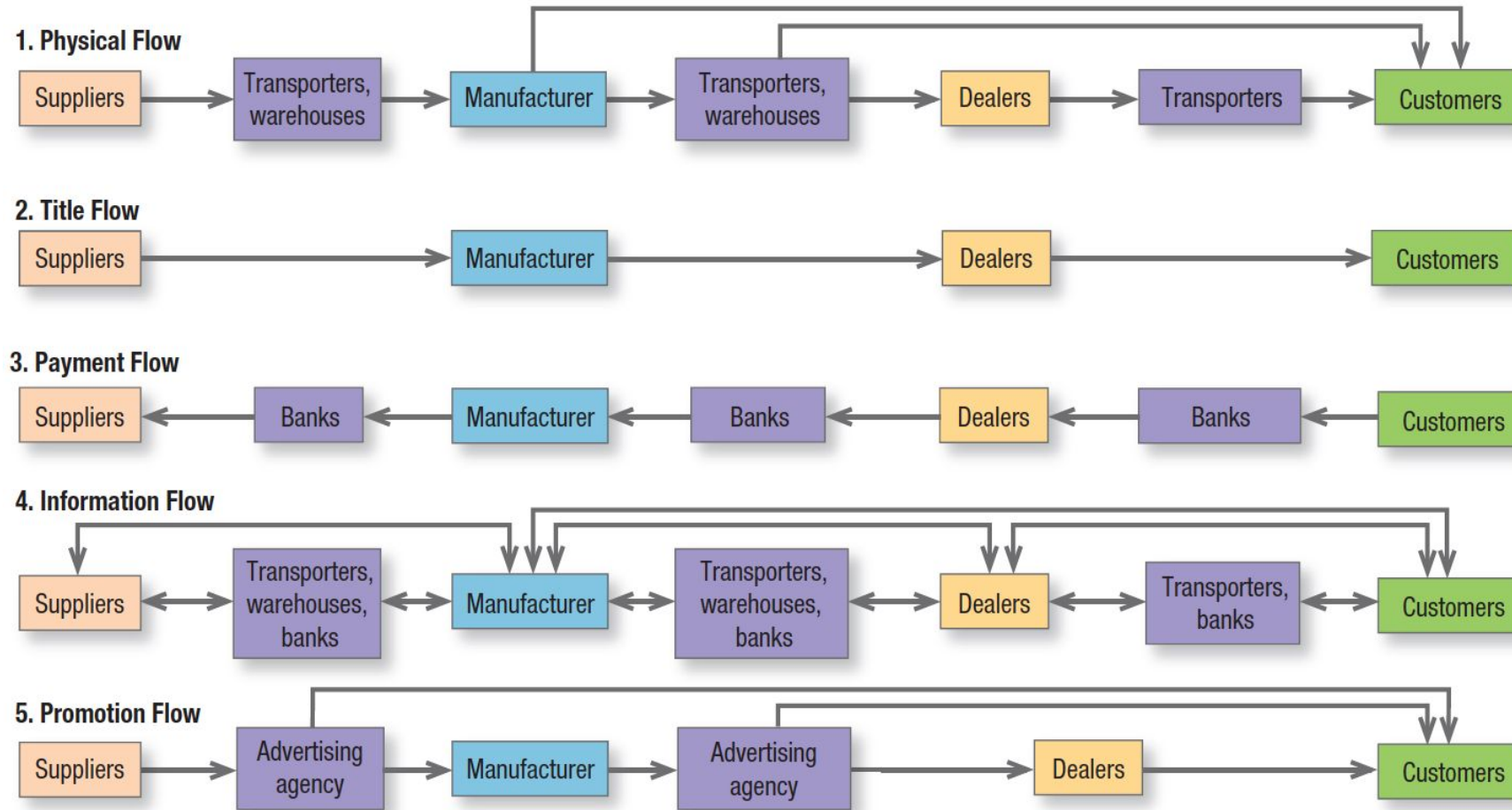
Check online for product availability at local stores

Order product online to pick up at store

Return a product purchased online to a nearby store

Figure 17.2

Marketing Flows For Forklift Trucks



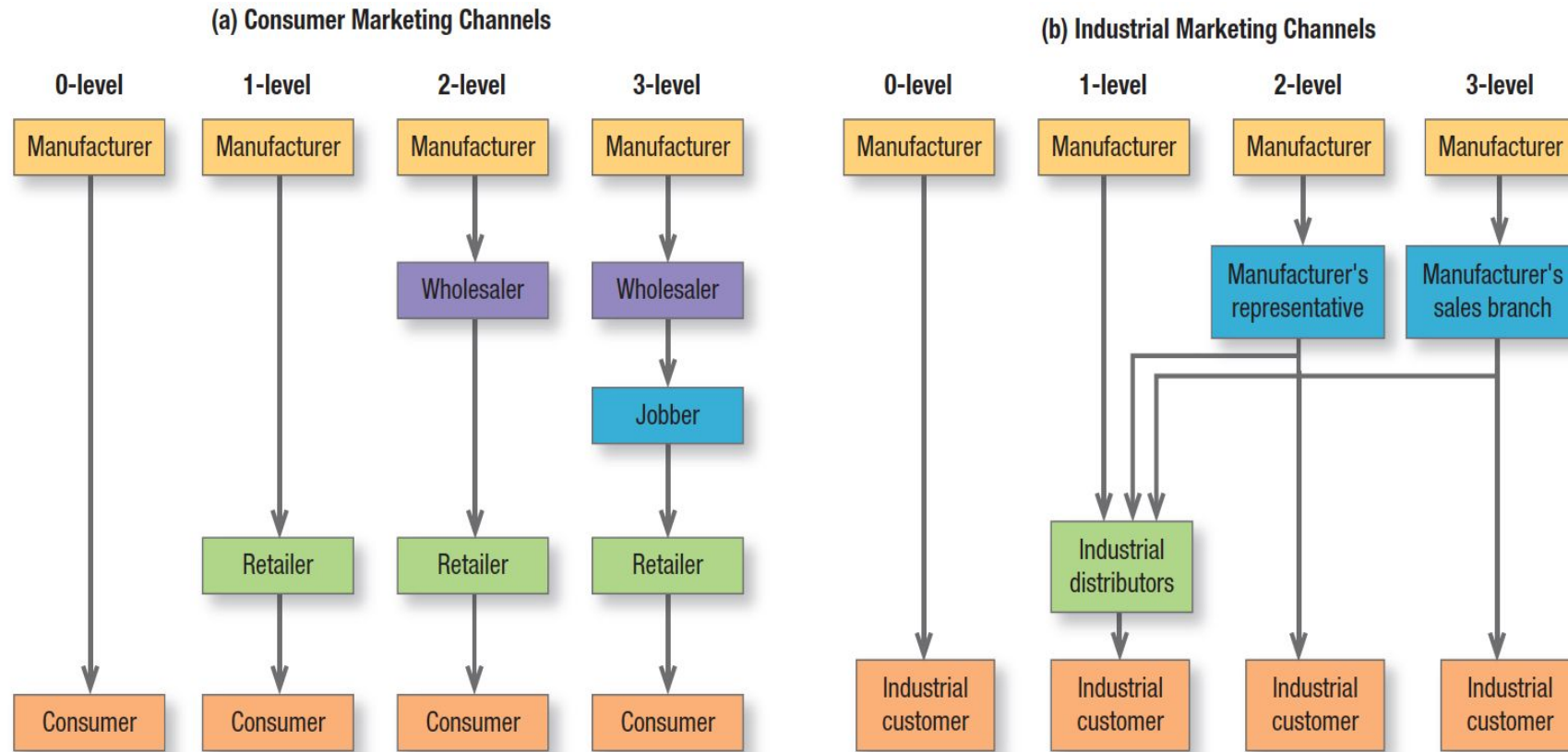
The Role of Marketing Channels

- Channel levels
 - Zero-level channel (direct)
 - One/two/three-level channels (intermediaries)
 - Reverse-flow channels
- Service sector channels

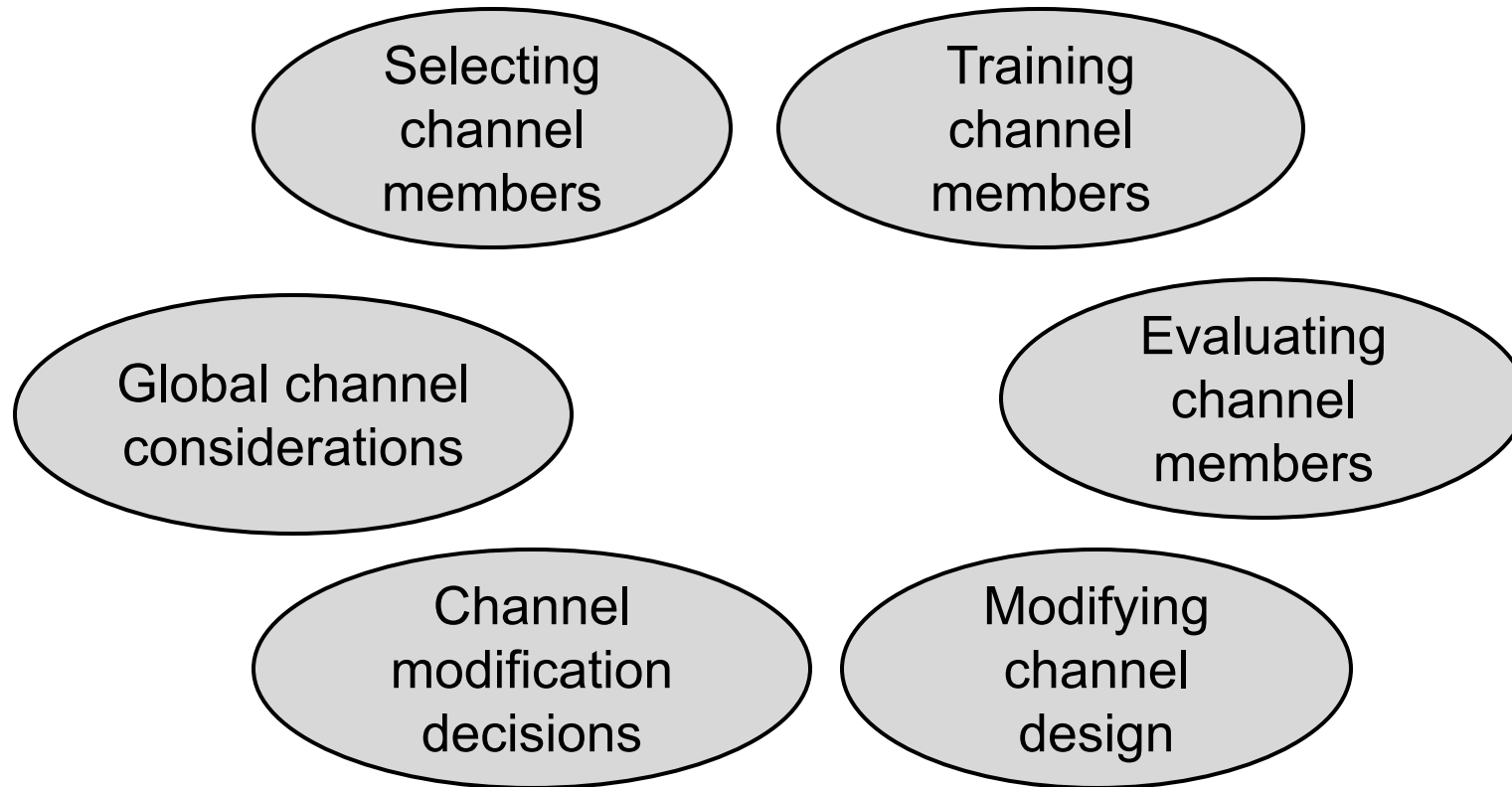
Distribution Channels



Consumer /Individual marketing channels



Channel-Management Decisions



Channel Integration and Systems

- Conventional marketing channel
- Vertical marketing systems
- Horizontal marketing systems

A conventional marketing channel consists of an independent producer, wholesaler(s), and retailer.

A vertical marketing system (VMS), by contrast, includes the producer, wholesaler(s), and retailer(s) acting as a unified system.

A horizontal marketing system, in which two or more unrelated companies put together resources or programs to exploit an emerging marketing opportunity.



Definition of Advertising

“Advertising consists of all activities involved in presenting to a group a non-personal, oral or visual, openly sponsored identified message regarding a product, service, or idea. The message, called an advertisement, is disseminated through one or more media and is paid for by the identified sponsor”-William Stanton.



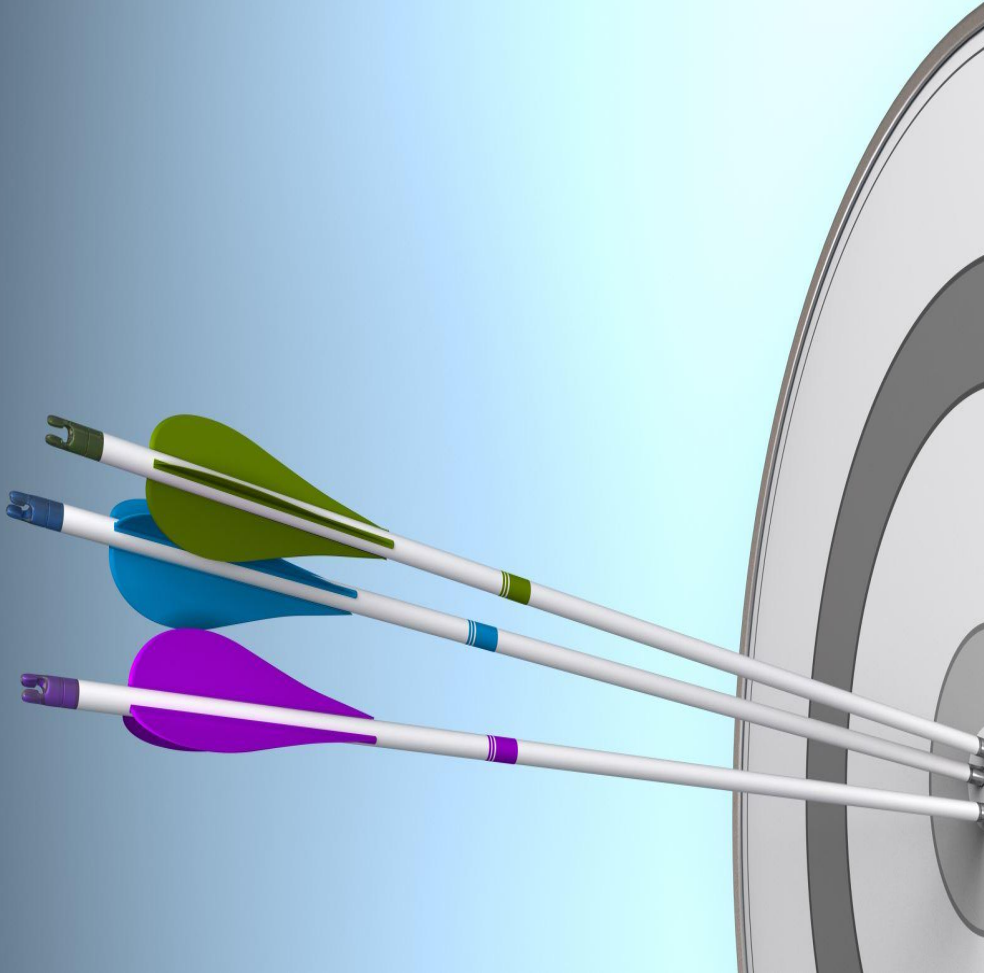
Objectives of advertising strategy

- Creating Awareness
- Generating Interest
- Stimulating Demand
- Building Brand Equity
- Generating leads and conversions
- Increasing Sales
- Measuring and optimizing performance



Major media

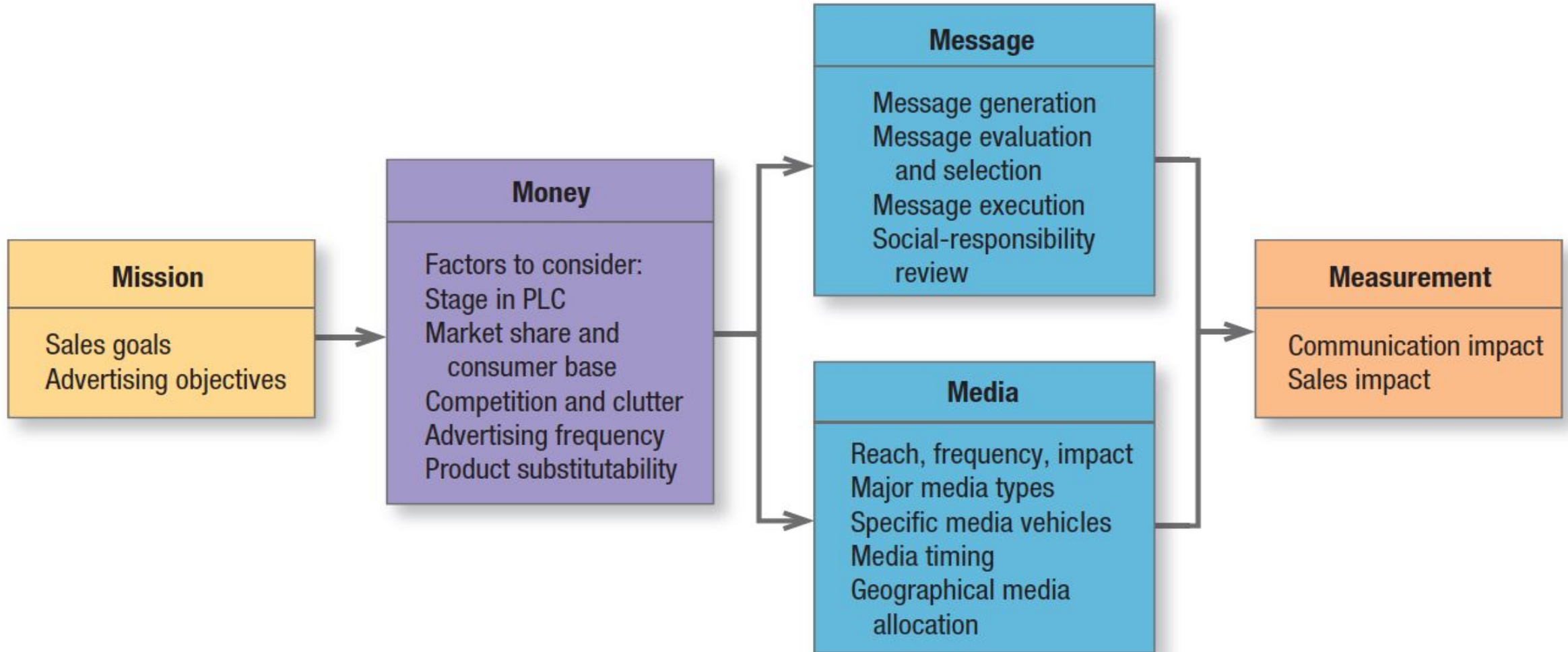
- News paper
- Television
- Radio
- Print media
- Internet
- Movies
- Social Media
- Outdoor advertising
- Mobile Media

An illustration of three darts with green, blue, and red flights hitting a target. The darts are positioned on the left side of the frame, with their shafts extending towards the right. The target is partially visible on the right edge. The background is a gradient of light blue and green.

Goals of advertising

The goal of a media advertising campaign is to reach and engage the target audience in a way that inspires them to take action, whether that means making a purchase, signing up for a service, or simply becoming more aware of a brand or product.

5 Ms of advertising



Executing the Message

Musical

Scientific

Slice-of-Life

Lifestyle

**Demon-
stration**



**Spokes-per
son/
Testimonial**

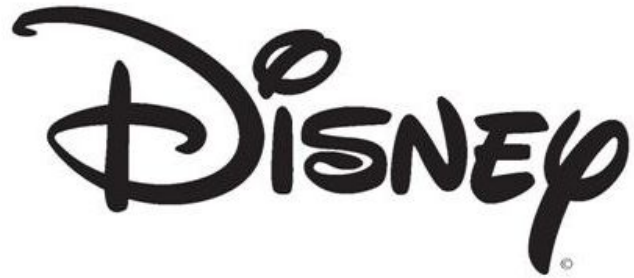
**Mood or
Image**

Fantasy

**Real/
Animated
Product
Symbols**

Humorous

FIVE COMPANIES DOMINATE THE MEDIA LANDSCAPE



Introduction to Retailing

Retail – derived from the French word “*retailleur*”, which Retailing is the last stage in the movement of goods and services to the consumer. **means to break bulk.**

Retail therefore consists of all activities involved in the marketing of goods and services directly to the consumers for their personal, family or household use.



Functions of a Retailer

Form utility

Time utility

Place utility

Ownership utility



The Changing Retail Landscape



Closeness to
the customer



The Growth
of
consumerism



Emergence of
Private Label



Impact of
Technology

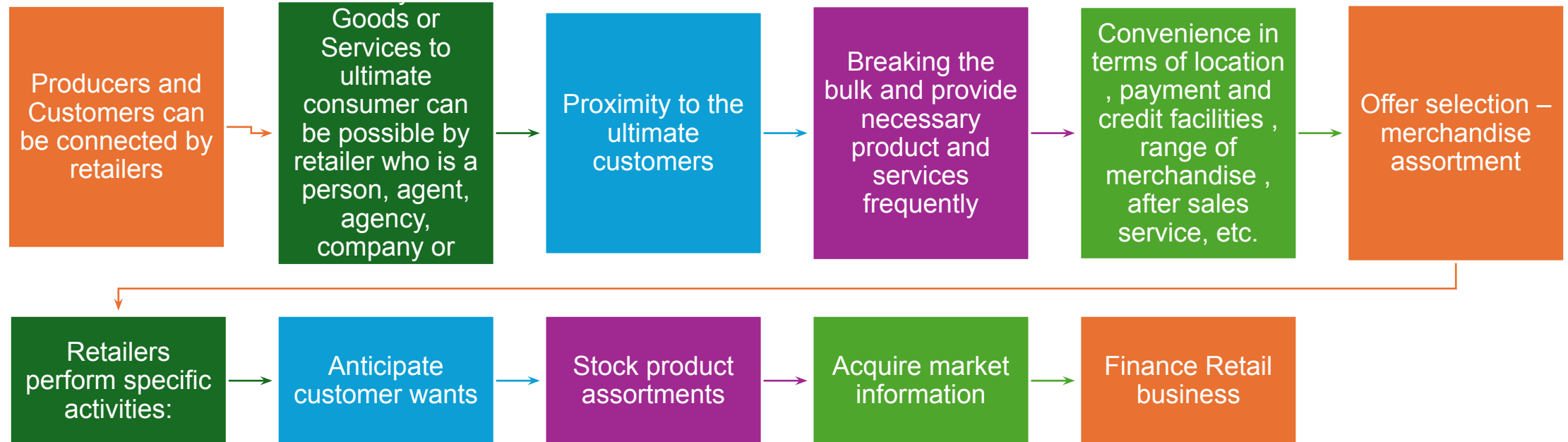


Exposure of
the customer

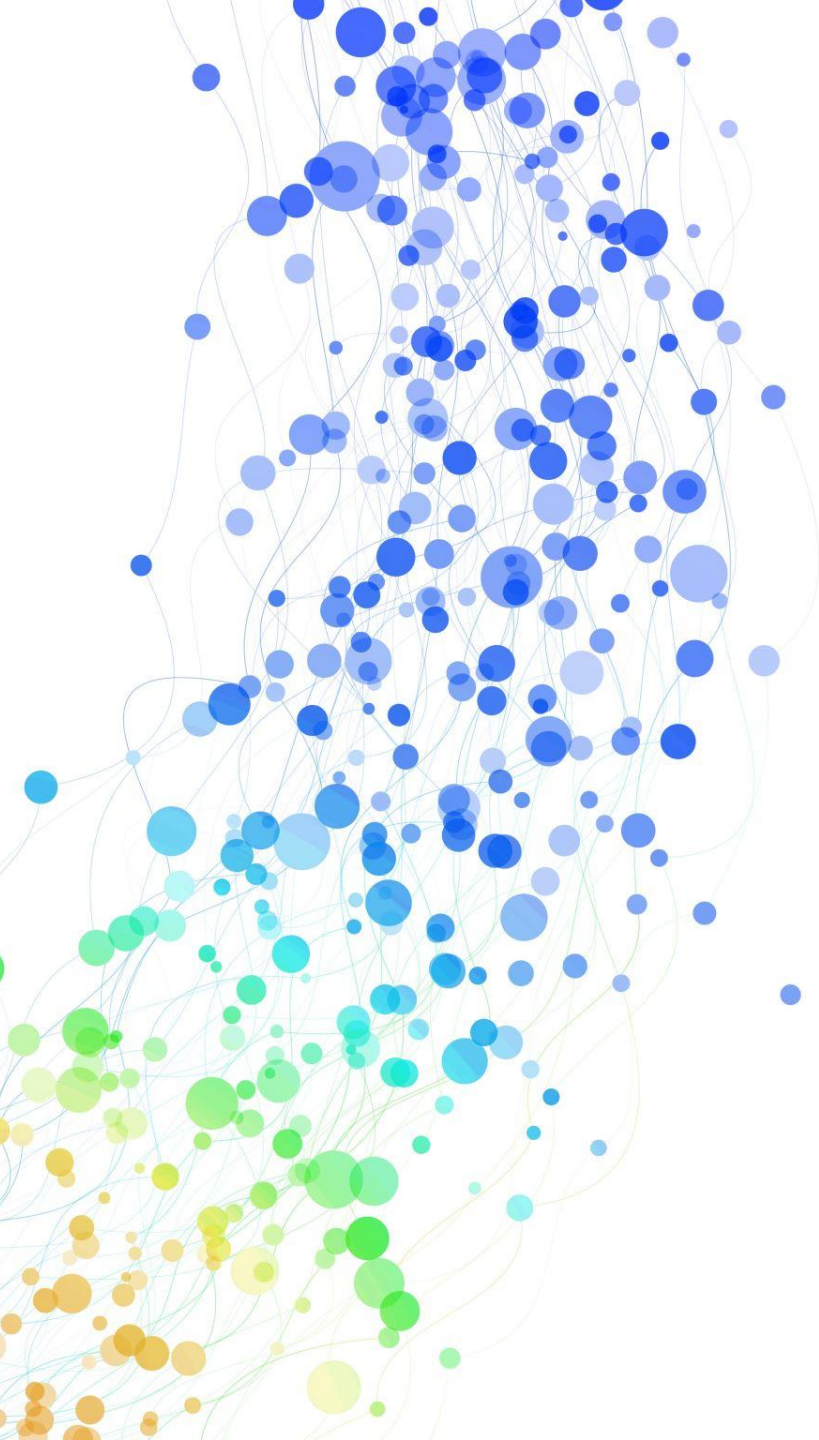


Omnichannel
marketing

Why retailing so important?







Types of retailers

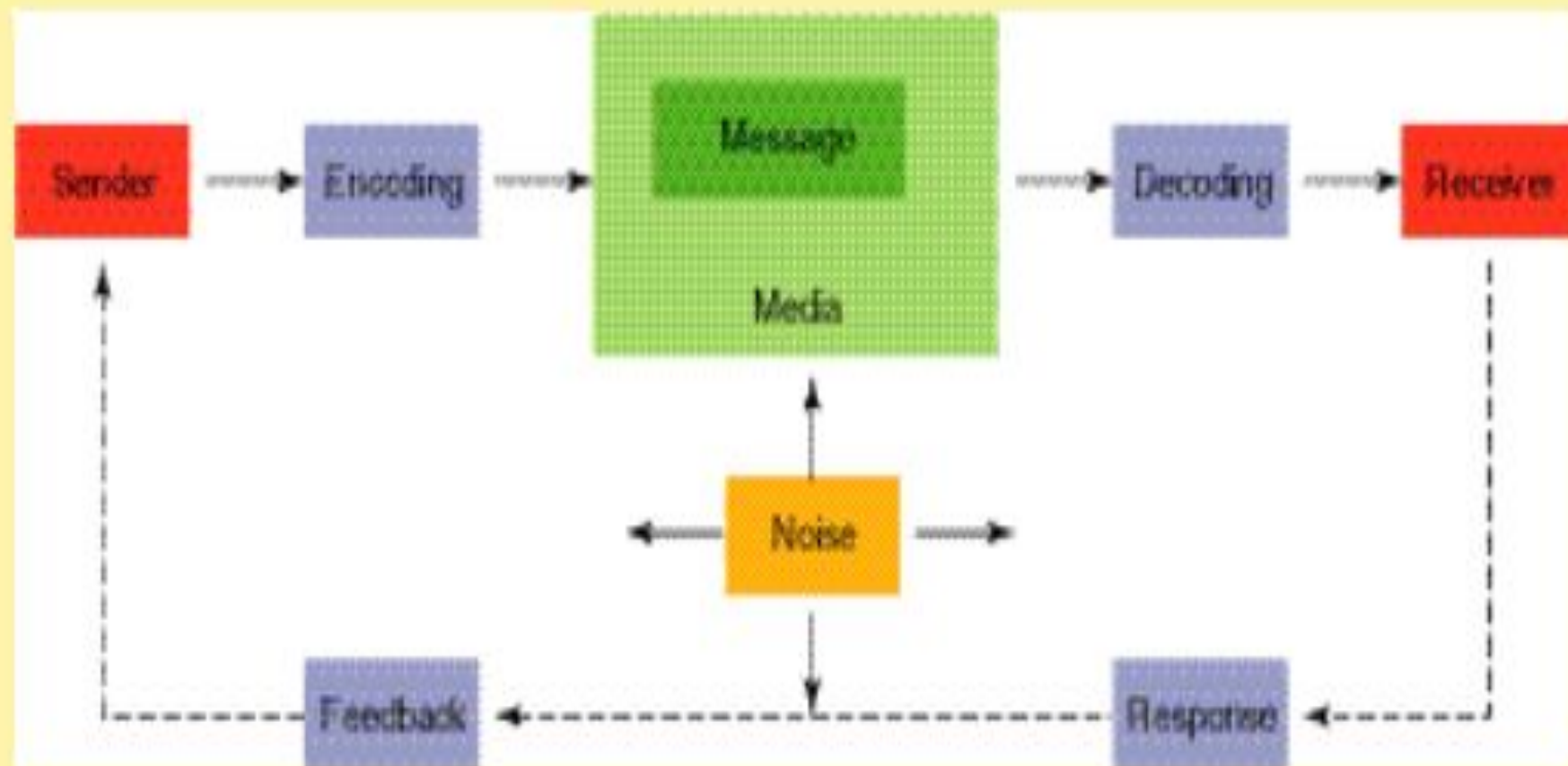
- Store retailers
- Non-store retailers
- Retail organizations
- **Non-store retailing**
 - Direct marketing
 - Direct selling
 - Automatic vending
 - World Wide Web

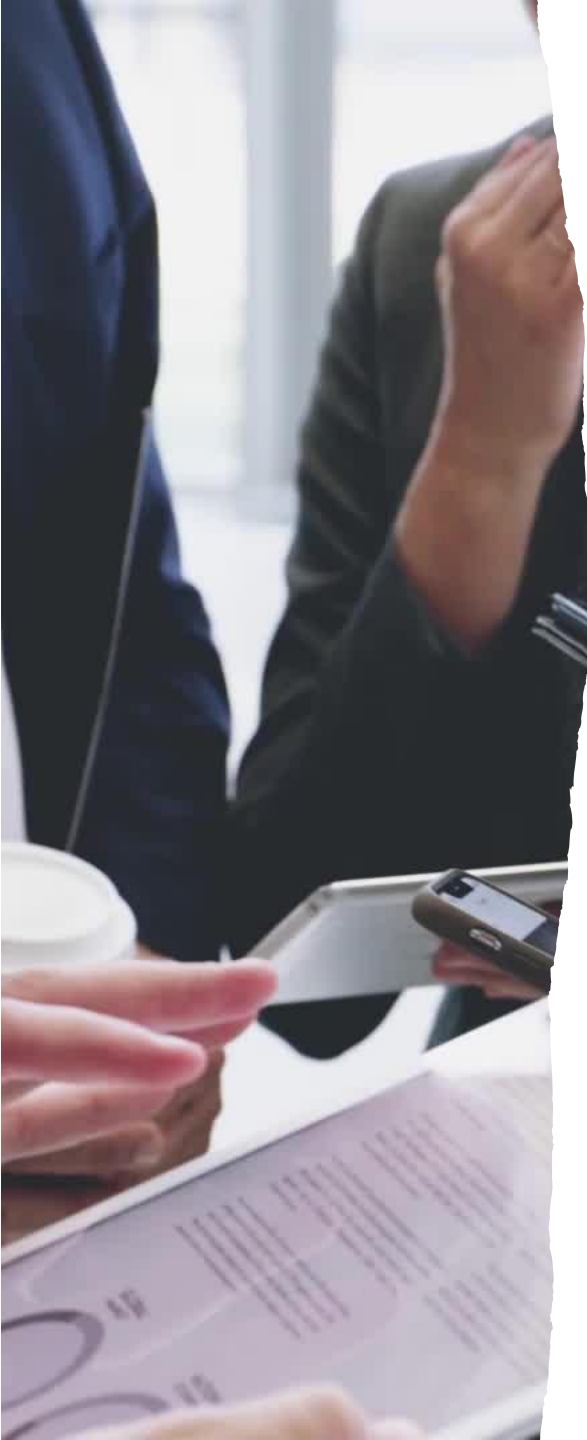
Marketing Communications

Marketing communications are how firms attempt to inform, persuade, and remind consumers—directly or indirectly—about the products and brands they sell.



Elements in the communication process





Marketing communication audit

The starting point in planning marketing communications is a *communication audit that profiles all interactions customers in the target market* may have with the company and all its products and services.